Pillar 3: Disclosures

Pillar 3 (market discipline) requires banks to disclose more information about the way they allocate capital and the risks they take. The idea is that banks will be subjected to added pressure to make sound risk management decisions if shareholders and potential shareholders have more information about those decisions.

Regulatory disclosures are likely to be different in form from accounting disclosures and need not be made in annual reports. It is largely left to the bank to choose disclosures that are material and relevant. Among the items that banks should disclose are:

1. The entities in the banking group to which Basel II is applied and adjustments made for entities to which it is not applied
2. The terms and conditions of the main features of all capital instruments
3. A list of the instruments constituting Tier 1 capital and the amount of capital provided by each item
4. The total amount of Additional Tier 1 and Tier 2 capital
5. Capital requirements for credit, market, and operational risk
6. Other general information on the risks to which a bank is exposed and the assessment methods used by the bank for different categories of risk
7. The structure of the risk management function and how it operates.